Instruments (TI) established a research and development facility in Bangalore but struggled with government clearances and regulation. In 1991, partly as a response to TI's experience, the Ministry of Communications and Information Technology established Software Technology Parks of India (STPI), which was meant to facilitate single window application clearances from only one government entity, allow for 100 per cent foreign equity investment in software, provide tax incentives, and ensure dedicated high-speed data connectivity infrastructure. India already had a large number of skilled English-speaking engineers, many trained at the Indian Institutes of Technology (IIT) and other such institutions. In the late 1990s, concerns over calendar dates in computer software—known as the Y2K problem or Millennium bug—created a massive global demand for low-cost computer engineers. Together, these conditions created the perfect cocktail for India's software boom. [26] 'Y2K has been a godsend,' the vice president of the tech firm Satyam declared to a foreign journalist in 1998. [27]

India's economic potential, which came to the fore after 1998, also had a positive effect on India's relations with China. Defence Minister George Fernandes had justified India's nuclear tests by declaring nuclear-armed China as India's 'potential threat No. 1'. [28] But in time, India and China attempted to cooperate both on economic and trade issues and on matters of global governance. Chinese Premier Zhu Rongji's 2002 visit to India attempted to highlight the economic complementarities of the two economies. 'You [Indians] are number one in terms of software, we [Chinese] are number one in terms of hardware,' Zhu said in Bangalore, 'Together we make the world's number one.' [29] For their part, Indian leaders recognized that China was a positive pace-setter and that its ascent gave other rising powers such as India the space to follow in its slipstream.

Repeated Betrayals: India and Pakistan, 1999–2003

Although the late 1990s and early 2000s—the period immediately following the nuclear tests—saw improved Indian relations with both